INVESTING IN FUNDS

Investment funds are pools of money from groups of investors invested in a variety of different stocks and bonds that make up each fund. There are a few different types of funds, including mutual funds, index funds, and exchange-traded funds (ETFs). Let's take a closer look at each one:

- **Managed mutual funds.** A mutual fund is a pool of money from a group of investors set up for the purpose of buying multiple securities like stocks and bonds, all combined into one investment. Mutual funds are typically managed by a fund manager associated with a brokerage firm. Their job is to make investment decisions for the fund and set the fund's objectives, with the main goal of making money for the fund's investors. The active management comes with a price of annual fees that could reduce an investor's overall returns.
- **Index funds.** Index funds are a type of mutual fund, but they are passively managed because they don't need a fund manager to make active decisions about what stocks to include. By Investopedia's definition, "An index fund is a type of mutual fund with a portfolio constructed to match or track the components of a market index, such as the Standard & Poor's 500 Index." In plain English, this means an index fund can be set up to buy all the same stocks within a specific index (like the S&P 500). So, if you were to invest in an index fund tracking the S&P 500, you would be invested in every single one of the 500 companies that make up the S&P 500. You could also purchase a total market index fund, which invests your money in equal ratios across the entire stock market based on a total market index like the Wilshire 5000, which is the broadest stock market index and measures the performance of over 6,700 publicly traded companies. A bond fund is another type of index fund, which invests in thousands of bonds aggregated into one fund.
- **Exchange-traded funds (ETFs).** ETFs work similarly to index funds and include funds that aggregate stocks or bonds. They are usually passively managed and set up to mimic a particular index. One key difference is that, unlike mutual funds and index funds, which are traded at the end of the day at the market's closing price, ETFs are